

really is.

I love beautiful automobiles. What is more delightful than a cruise in a gorgeous rolling sculpture of steel and glass, plenty of horsepower, and an open top for those sunny spring days? Kids of my generation grew up lusting after joyful toys like Corvettes and Porsche 911s and Ferraris.

Finding the cars that have appreciated wildly *after the fact* is easy, but it proves nothing about how well that asset class has performed. The bigger question for investors is how well the overall investment class (e.g., all collectible automobiles) has done, not just a handful of limited production rarities.

Owning these cars can be tremendously rewarding. They are fun projects,¹⁴⁸ you meet other people interested in them, you get to *drive them*.

But my experience is they cost money to maintain, store, and insure. To keep them in concourse show condition is expensive. The market for these vehicles is small, if you ever *need* liquidity. The rarest and most valuable collectible cars that go for eight figures have a very modest pool of potential buyers. Turning any passing fancy into a successful investment is very difficult.

To remove the survivorship bias, look at Hagerty's Price Guide Index.¹⁴⁹ It tracks 1400 vehicles in four different conditions. Since 2006, Ferrari (+500%) and Post-War German (+300%) and what they call Blue Chip (+300%) collectibles have all seen significant price gains. "Affordable Classics" have doubled over those 18 years, and American Muscle, British, 1950s classics are up marginally. In this period, the S&P 500 was up 340%, the Nasdaq gained 1110%, all without the need for insurance, maintenance, gas, and storage.

Selecting investments after the fact is easy, but ask yourself this question: *What car do you want to buy as an investment to hold for the next 50 years to be sold in 2075?*